

DEVELOPMENT PROCESSES AND THE DEVELOPMENT INDUSTRY

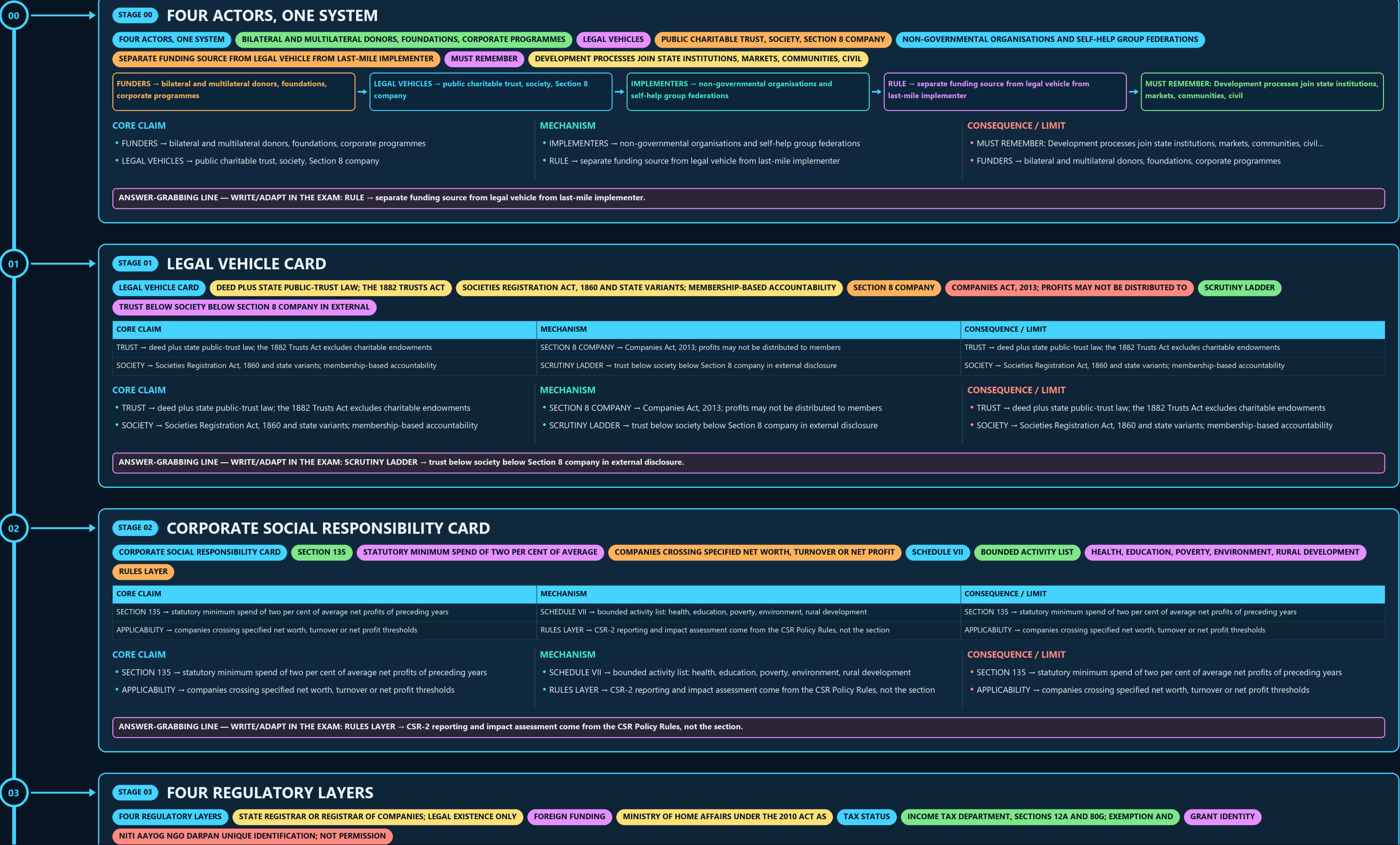
FOUR ACTORS, ONE SYSTEM → LEGAL VEHICLE CARD → CORPORATE SOCIAL RESPONSIBILITY CARD → FOUR REGULATORY LAYERS → THE FOREIGN-CONTRIBUTION GATE → FUNDING TO OUTCOME

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g2 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
- SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years - APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds	- SCHEDULE VII → bounded activity list: health, education, poverty, environment, rural development - RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section	- SECTION 135 → statutory minimum spend of two per cent of average net profits of preceding years - APPLICABILITY → companies crossing specified net worth, turnover or net profit thresholds

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RULES LAYER → CSR-2 reporting and impact assessment come from the CSR Policy Rules, not the section.

STAGE 03

FOUR REGULATORY LAYERS

FOUR REGULATORY LAYERS

STATE REGISTRAR OR REGISTRAR OF COMPANIES; LEGAL EXISTENCE ONLY

FOREIGN FUNDING

MINISTRY OF HOME AFFAIRS UNDER THE 2010 ACT AS

TAX STATUS

INCOME TAX DEPARTMENT, SECTIONS 12A AND 80G; EXEMPTION AND

GRANT IDENTITY

NITI AAYOG NGO DARPAN UNIQUE IDENTIFICATION; NOT PERMISSION

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
INCORPORATION → state registrar or Registrar of Companies; legal existence only	TAX STATUS → Income Tax Department, Sections 12A and 80G; exemption and donor deduction	INCORPORATION → state registrar or Registrar of Companies; legal existence only
FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020	GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission	FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

CORE CLAIM

- INCORPORATION → state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

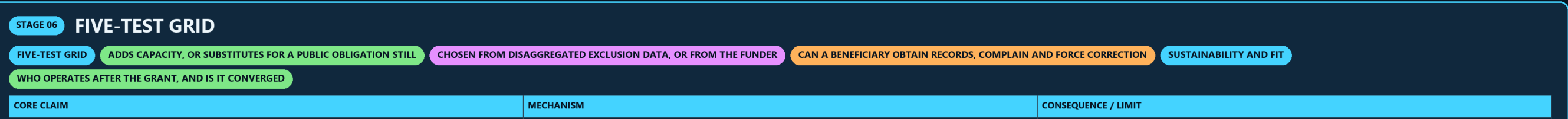
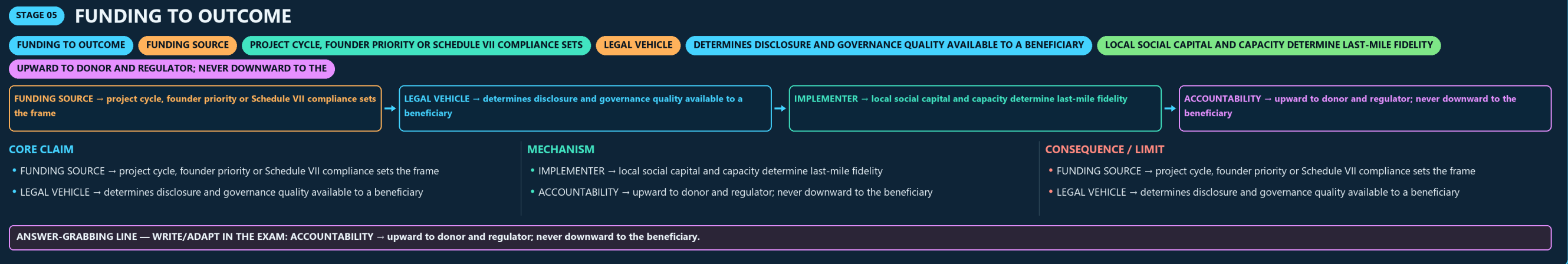
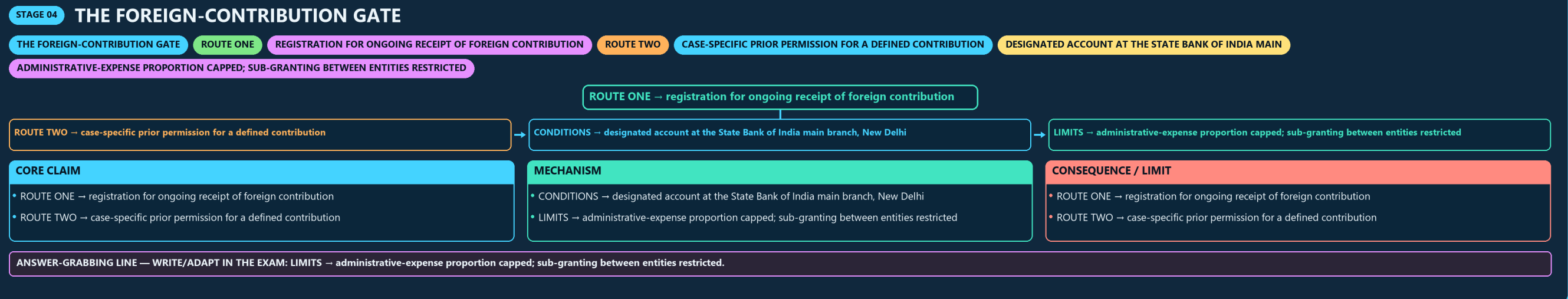
MECHANISM

- TAX STATUS → Income Tax Department, Sections 12A and 80G; exemption and donor deduction
- GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission

CONSEQUENCE / LIMIT

- INCORPORATION → state registrar or Registrar of Companies; legal existence only
- FOREIGN FUNDING → Ministry of Home Affairs under the 2010 Act as amended in 2020

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GRANT IDENTITY → NITI Aayog NGO Darpan unique identification; not permission.



06

• LEGAL VEHICLE → determines disclosure and governance quality available to a beneficiary

• ACCOUNTABILITY → upward to donor and regulator; never downward to the beneficiary

• LEGAL VEHICLE → determines disclosure and governance quality available to a beneficiary

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACCOUNTABILITY → upward to donor and regulator; never downward to the beneficiary.

06

STAGE 06

FIVE-TEST GRID

FIVE-TEST GRID

ADDS CAPACITY, OR SUBSTITUTES FOR A PUBLIC OBLIGATION STILL

CHOSEN FROM DISAGGREGATED EXCLUSION DATA, OR FROM THE FUNDER

CAN A BENEFICIARY OBTAIN RECORDS, COMPLAIN AND FORCE CORRECTION

SUSTAINABILITY AND FIT

WHO OPERATES AFTER THE GRANT, AND IS IT CONVERGED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed	ACCOUNTABILITY → can a beneficiary obtain records, complain and force correction	ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed
NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority	SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan	NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

CORE CLAIM

• ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed

• NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

MECHANISM

• ACCOUNTABILITY → can a beneficiary obtain records, complain and force correction

• SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan

CONSEQUENCE / LIMIT

• ADDITIONALITY → adds capacity, or substitutes for a public obligation still owed

• NEED-FIT → chosen from disaggregated exclusion data, or from the funder priority

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SUSTAINABILITY AND FIT → who operates after the grant, and is it converged with the district plan.

07

STAGE 07

SUBSTITUTION AGAINST COMPLEMENTARITY

SUBSTITUTION AGAINST COMPLEMENTARITY

NON-STATE DELIVERY IS A SYMPTOM OF STATE FAILURE AND

FLEXIBILITY, SPEED AND RISK-TAKING ARE STRUCTURALLY EASIER OUTSIDE PROCUREMENT

THE ADDITIONALITY TEST DECIDES THE CASE RATHER THAN THE

AGGREGATE RISK

DUPLICATION AND VISIBLE-NEED BIAS WHERE CONVERGENCE IS ABSENT

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it	RESOLUTION → the additionality test decides the case rather than the thesis	SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it
COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement	AGGREGATE RISK → duplication and visible-need bias where convergence is absent	COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

CORE CLAIM

• SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it

• COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

MECHANISM

• RESOLUTION → the additionality test decides the case rather than the thesis

• AGGREGATE RISK → duplication and visible-need bias where convergence is absent

CONSEQUENCE / LIMIT

• SUBSTITUTION → non-state delivery is a symptom of state failure and may entrench it

• COMPLEMENTARITY → flexibility, speed and risk-taking are structurally easier outside procurement

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: AGGREGATE RISK → duplication and visible-need bias where convergence is absent.

08

STAGE 08

VISIBLE-NEED BIAS

VISIBLE-NEED BIAS

SCHEDULE VII LIST PLUS REPUTATIONAL INCENTIVE

CROWDING INTO SCHOOL BUILDINGS, SANITATION HARDWARE AND OTHER LEGIBLE

MENTAL HEALTH, CARE WORK, LEGAL AID AND DISABILITY ACCESS

A CONVERGENCE FAILURE, NOT A FAILURE OF GENEROSITY

DRIVER → Schedule VII list plus reputational incentive

EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

SHORTFALL → mental health, care work, legal aid and disability access stay underfunded

DIAGNOSIS → a convergence failure, not a failure of generosity

CORE CLAIM

• DRIVER → Schedule VII list plus reputational incentive

• EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

MECHANISM

• SHORTFALL → mental health, care work, legal aid and disability access stay underfunded

• DIAGNOSIS → a convergence failure, not a failure of generosity

CONSEQUENCE / LIMIT

• DRIVER → Schedule VII list plus reputational incentive

• EFFECT → crowding into school buildings, sanitation hardware and other legible sectors

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: DIAGNOSIS → a convergence failure, not a failure of generosity.

09

STAGE 09

MULTI-LEVEL PLANNING CARD

MULTI-LEVEL PLANNING CARD

UNION, STATE, DISTRICT AND LOCAL PLAN WHAT EACH IS

DISTRICT PLANNING COMMITTEE UNDER ARTICLE 243ZD; OPERATIONALISATION UNEVEN

FISCAL PRECONDITION

THE STATE FINANCE COMMISSION

KERALA PEOPLE'S PLAN CAMPAIGN, 1996; FUNDS, FUNCTIONS AND FUNCTIONARIES

CLOSE DISTINCTION

DEVELOPMENT INDUSTRY IS AN ANALYTICAL LABEL FOR ORGANISATIONS

TIERS → Union, state, district and local plan what each is best placed to know

CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

FISCAL PRECONDITION → the State Finance Commission

DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CLOSE DISTINCTION: Development industry is an analytical label for organisations

CORE CLAIM

• TIERS → Union, state, district and local plan what each is best placed to know

• CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

MECHANISM

• FISCAL PRECONDITION → the State Finance Commission

• DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CONSEQUENCE / LIMIT

• CLOSE DISTINCTION: Development industry is an analytical label for organisations,...

• TIERS → Union, state, district and local plan what each is best placed to know

DEVELOPMENT PROCESSES AND THE DEVELOPMENT INDUSTRY • TILE 3/4 • same master rows 5249-8483 of 11108 • continues below

09

STAGE 09 MULTI-LEVEL PLANNING CARD

MULTI-LEVEL PLANNING CARD UNION, STATE, DISTRICT AND LOCAL PLAN WHAT EACH IS DISTRICT PLANNING COMMITTEE UNDER ARTICLE 243ZD; OPERATIONALISATION UNEVEN FISCAL PRECONDITION THE STATE FINANCE COMMISSION

KERALA PEOPLE'S PLAN CAMPAIGN, 1996; FUNDS, FUNCTIONS AND FUNCTIONARIES CLOSE DISTINCTION DEVELOPMENT INDUSTRY IS AN ANALYTICAL LABEL FOR ORGANISATIONS



CORE CLAIM

- TIERS → Union, state, district and local plan what each is best placed to know
- CONSOLIDATION → District Planning Committee under Article 243ZD; operationalisation uneven

MECHANISM

- FISCAL PRECONDITION → the State Finance Commission
- DEMONSTRATION → Kerala People's Plan Campaign, 1996; funds, functions and functionaries together

CONSEQUENCE / LIMIT

- CLOSE DISTINCTION: Development industry is an analytical label for organisations,...
- TIERS → Union, state, district and local plan what each is best placed to know

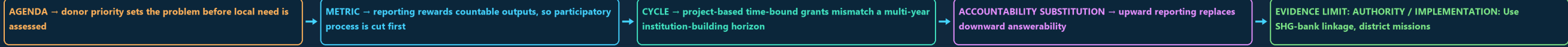
ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Development industry is an analytical label for organisations,.

10

STAGE 10 FOUR DONOR-DISTORTION CHANNELS

FOUR DONOR-DISTORTION CHANNELS DONOR PRIORITY SETS THE PROBLEM BEFORE LOCAL NEED IS REPORTING REWARDS COUNTABLE OUTPUTS, SO PARTICIPATORY PROCESS IS CUT PROJECT-BASED TIME-BOUND GRANTS MISMATCH A MULTI-YEAR INSTITUTION-BUILDING HORIZON ACCOUNTABILITY SUBSTITUTION

UPWARD REPORTING REPLACES DOWNWARD ANSWERABILITY EVIDENCE LIMIT USE SHG-BANK LINKAGE, DISTRICT MISSIONS



CORE CLAIM

- AGENDA → donor priority sets the problem before local need is assessed
- METRIC → reporting rewards countable outputs, so participatory process is cut first

MECHANISM

- CYCLE → project-based time-bound grants mismatch a multi-year institution-building horizon
- ACCOUNTABILITY SUBSTITUTION → upward reporting replaces downward answerability

CONSEQUENCE / LIMIT

- EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions,...
- AGENDA → donor priority sets the problem before local need is assessed

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: AUTHORITY / IMPLEMENTATION: Use SHG-bank linkage, district missions,.

11

STAGE 11 ANSWER SPINE FOR A DISTANCE DEMAND

ANSWER SPINE FOR A DISTANCE DEMAND NAME DISTANCE AS AN INSTITUTIONAL PROPERTY OF THE FUNDING FOUR CHANNELS, THEN THE FIVE-TEST GRID APPLIED TO ONE CONVERGENCE WITH THE LOCAL PLAN, CO-DECISION, EXIT PLANNING, DISCLOSED

GRADED VERDICT RECORDING THE ONE OPEN ROUTING CONFLICT RATHER



CORE CLAIM

- OPEN → name distance as an institutional property of the funding chain, not only of the state
- BUILD → four channels, then the five-test grid applied to one case

MECHANISM

- CORRECT → convergence with the local plan, co-decision, exit planning, disclosed funding and cost
- CLOSE → graded verdict recording the one open routing conflict rather than concealing it

CONSEQUENCE / LIMIT

- OPEN → name distance as an institutional property of the funding chain, not only of the state
- BUILD → four channels, then the five-test grid applied to one case

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE → graded verdict recording the one open routing conflict rather than concealing it.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT THE 2024 PYQ'S CAREFUL PHRASING ("HAVE THE POTENTIAL TO CSR'S SCHEDULE VII ACTIVITY-LIST CONSTRAINT IS A DOUBLE-EDGED DESIGN IT PREVENTS CROSS-BORDER DONOR FUNDING FOR INDIAN DEVELOPMENT WORK INTERSECTS DIRECTLY

MINISTRY OF CORPORATE AFFAIRS ADMINISTERS SECTION 8 COMPANY REGISTRATION INCOME TAX DEPARTMENT ADMINISTERS CHARITABLE-TRUST TAX-EXEMPTION COMPLIANCE (REGISTRATION NO SINGLE UNIFIED REGULATOR SUPERVISES "THE DEVELOPMENT INDUSTRY" AS

OPTIONAL SOURCE DEPTH

- CAUTION: The 2024 PYQ's careful phrasing ("have the potential to make — more inclusive") is an
- CAUTION: CSR's Schedule VII activity-list constraint is a double-edged design feature: it prevents
- CAUTION: Cross-border donor funding for Indian development work intersects directly with FCRA
- Ministry of Corporate Affairs administers Section 8 company registration and CSR

ADVANCED DEBATE

- Income Tax Department administers charitable-trust tax-exemption compliance (registration
- CAUTION: No single unified regulator supervises "the development industry" as such — regulatory
- CAUTION: A well-governed public charitable trust running a transparent, locally consulted health
- CAUTION: Boundary case: a CSR programme designed purely to satisfy Schedule VII compliance with

LEGACY / NUANCE

- CAUTION: Disaster relief remains the clearest example where charitable-trust/CSR flexibility
- CAUTION: Charitable/CSR development trades scale and universality (which the state, in
- CAUTION: Donor/CSR funding cycles being project-based and time-bound can create sustainability
- CAUTION: Weak, fragmented regulatory oversight (MCA/Income Tax/state registrars/MHA) leaves gaps

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.